

target would take price back to the July 1993 level, and it seemed reasonable to her.

“Something bothered me about the stock, so I decided not to trade it.” When the doorbell rang, she left her daughter alone to go answer it.

Then the phone rang. It was her broker confirming that the stock sold short. Kelly ran to the computer to see her daughter standing on the chair, beating on the keyboard with a wide but guilty grin on her face. “I hoped it was gas, but it wasn't. My daughter had sold the stock short at 31. I couldn't believe it!”

After spending some anxious moments reviewing the trade, Kelly decided to maintain the position. The number of shorted shares was just 100, an amount she could live with. Price quickly retreated to the neckline (mid-April) where it found support. The stock bounced, and when it moved above the right shoulder low, she became concerned. After a few days, the stock leveled out and moved sideways (going into May). In case this turned out to be the beginning of a measured move up, she placed an order to cover her trade at 29. That would leave her with a small profit but still allow her to participate if the stock declined.

Two weeks later, she had an answer. The stock tumbled for 5 days in a row and then just as quickly recovered (early to mid-May), only this time it formed a lower high. The volatility was wearing her down, so she placed an order with her broker to cover her position when price reached the early May low. She was taken out when price descended to 22.75 on their way down to 20. After expenses, she made about 25% on the trade. Her daughter got a big kiss for her help.